CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E3E34E2CC
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN PART

**From:** Mark - ECT Legal Taylor <mark.taylor@enron.com>
**Sent:** Wed, 22 Sep 1999 09:51:00 -0700 (PDT)
**To:** Elizabeth Sager <elizabeth.sager@enron.com>
**Subject:** re Westland Energie BV - capacity deals for 2000

FYI
---------- Forwarded by Mark - ECT Legal Taylor/HOU/ECT on 09/22/99 04:53 PM ----------

Robert Quick
09/22/99 07:27 AM
To: ECT London European Trading
cc: Michael R Brown/LON/ECT@ECT
Subject: re Westland Energie BV - capacity deals for 2000

The Netherlands power origination team have concluded the first of the so-called transmission deals with the above counterparty. This is a sale and buy back structure whereby Enron sells on a border basis to a Dutch distribution company who then sells back to Enron a proportion of the power on a free on Koppelnet basis. The Koppelnet is the Dutch grid.

The deals are designed to secure as much cross border capacity to take advantage of the still significant arbitrage between power prices within the Netherlands and those outside. At the moment the grid operator, TenneT, allocates transmission capacity on a pro rata basis without charge. This has led to significant gaming of the system with huge oversubscription for cross border capacity, and the structure we have developed in Enron has been designed to take advantage of the system and still stay within the rules laid down by TenneT and the regulator, the DTe. Should anyone like to have a copy of the 2 transaction agreements, then pls call me.

We are in negotaitions with other distribution companies in relation to this structure.

tks

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